

Alphabet Inc.

GOOGL NASDAQ

Buy	\$346.59 ▲ 1.74%	12M Price Target \$385.00	52-Week Range \$206.20 – \$408.61	Market Cap \$4.24T
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GOOGL: Bounces Back as AI Capex Debate Heats Up

WHAT HAPPENED

- Stock snapped a 3-day slide, popping 1.74% to \$346.59 on solid volume — this looks like a bounce-back after Comm Services as a whole caught a bid (+1.42%), and options desks lit up with unusual call buying (people betting on the stock going UP) at the \$345 and \$350 strikes. Translation: someone with real money thinks this rebound has legs into September.
- The Marvell earnings blowup (-10% on weak guidance) is the interesting sideshow — it's making investors nervous that the "AI capex tsunami" (massive spending on AI chips and data centers) might be peaking. GOOGL going UP while a chip supplier tanks tells you the market is separating the AI *spenders* (Google, MSFT) from the AI *suppliers* — and right now, being a spender with your own cash flow is the safer trade.

WHY IT MATTERS

Here's what I think is really going on: the market is starting to distinguish between AI winners with real cash flow (GOOGL, META) versus companies that just *sell picks and shovels* to the AI boom (Marvell, some chip names). That's a subtle but important rotation — and GOOGL sits on the right side of it because Search + YouTube fund the AI buildout without needing debt or dilution. The insider "OTHER" transactions from Walker and Pichai look like scheduled 10b5-1 stuff (pre-planned sales, not panic selling), so I wouldn't read the "bearish" insider signal too literally. Bigger picture: with the DOJ antitrust remedy phase still unresolved and Washington increasingly viewing US Big Tech as a strategic asset against China, the political winds are quietly shifting from "break them up" to "let them compete with Beijing."

POLICY & POLITICAL WATCH

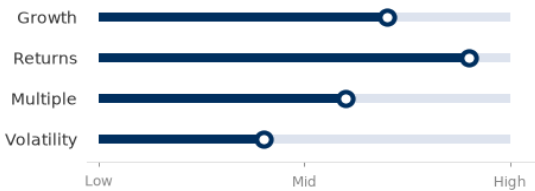
Two things to watch: (1) the DOJ antitrust remedy in the Search case — the July 2026 ruling avoided forced Chrome divestiture but data-sharing requirements are still being negotiated, and any softening here is a direct catalyst; (2) the AI infrastructure and permitting reform push in Congress — bipartisan interest in fast-tracking data center construction and power grid upgrades directly benefits Google Cloud's expansion plans. The Trump administration's AI Action Plan has been notably friendlier to US hyperscalers (the giant cloud/AI companies) than the Biden-era export control regime, framing them as national champions — that's a quiet but real tailwind that isn't in the stock price yet.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$346.59
12M Price Target	\$385.00
Upside / (Downside)	+11.1%
Market Cap	\$4.24T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	35.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$352.00	\$325.00
6 Months	\$400.00	\$375.00	\$300.00
1 Year	\$440.00	\$385.00	\$280.00
2 Years	\$520.00	\$430.00	\$270.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.42%) and Consumer Discretionary (+1.15%) — money is flowing back into growth/AI beneficiaries as bond yields stabilized this week. The "AI capex is a credit boom" thesis is bringing generalist investors back to hyperscalers.

COOLING OFF: Materials and Energy are flat-to-down over 5 days — classic "risk-on rotation" where defensive/cyclical names lose to growth. Also, AI *suppliers* (chip names post-Marvell) are getting scrutinized on whether guidance can keep up with expectations.

ROTATION WATCH: Money is rotating from "AI picks-and-shovels" (chips, networking) INTO "AI monetizers" (GOOGL, META, MSFT) because those companies have real revenue from AI now, not just hopes. That's exactly why GOOGL bounced while Marvell got smashed.

RELATED PLAY: If GOOGL keeps working, the second-order winners are data center REITs (EQIX, DLR) and power/utility names supplying hyperscaler campuses — Google's capex has to land somewhere physical.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Similar setup — AI monetization already showing in ad revenue, cheaper than MSFT, benefits from same policy tailwinds.
- MSFT (Microsoft): The other AI monetizer, though Trefis flagged today it may have "run ahead of its AI payoff" — that valuation concern is exactly why GOOGL looks better relatively.

GOOGL CONTEXT: GOOGL is holding its own but not leading — it's the "value" name in the mega-cap AI trade, which means it lags on euphoric days but holds up better on fear days. That's actually the profile you want for a core position — you're getting AI exposure without paying the crazy premium.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$335-342 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Forced Chrome/Android divestiture ruling OR cloud growth drops below 20%

Hedging: Small put spread or pair against an overheated pure-play AI name like Marvell/AMD